

Portfolio allocation: Does it make sense to invest in real estate?

Having understood all this, you have to ask yourself: does real estate deserve a place in your portfolio? We have seen, in isolation, the answer is an emphatic NO. Let us look at the only other plausible reason: does it offer diversification?

It is established wisdom to have a diversified portfolio because it brings the volatility or risk of the portfolio down without compromising returns significantly. It is worth going into a bit of asset allocation theory at this point to understand how diversification works. When two asset classes are mixed in a portfolio, while the combined performance is a weighted average of the performance of the two underlying assets, the combined risk is not such a straightforward calculation. Typically, the combined risk is lower than the weighted sum because some risks cancel each other. Thus, diversification offers the same return with lesser risk.

However, as the eagle-eyed reader would have figured out, diversification only works if the asset classes are less than perfectly correlated with each other. If both asset classes behave in a very similar manner, then the diversification of risk simply does not happen. For example, adding bonds to your equity portfolio reduces your risk significantly without a proportionate reduction in returns. However, buying a stake in private equity funds does not reduce your risk in a meaningful way because the prices of both asset classes (equity and private equity) move in a similar way.

Given that backdrop, let us now study the correlation between equity and real estate. Given the lack of data in the Indian milieu, we again looked at data in the US. The long-term correlation between Dow Jones and US property (as measured by Robert J. Shiller's Real Home price index) was a staggering 78 per cent, implying that American stock markets and American real estate prices, more or less, move in sync. In comparison, according to consulting firm Aon Hewitt, the long-term correlation between US equity and bonds is around zero.